

IN THE HIGH COURT OF SOUTH AFRICA
[GAUTENG DIVISION, PRETORIA / INSERT APPROPRIATE DIVISION]

CASE NUMBER: _____

In the matter between:

APPLICANT

and

FIRST RESPONDENT

SECOND RESPONDENT

THIRD RESPONDENT

FOUNDING AFFIDAVIT

I, the undersigned,

(Full names and surname)

do hereby make oath and state that:

1. INTRODUCTION AND LOCUS STANDI

1.1 I am an adult male/female residing at _____

1.2 I am the Applicant in the above matter and am duly authorised to depose to this affidavit.

1.3 The facts deposed to herein are within my personal knowledge and belief, save where the context indicates otherwise, and are to the best of my knowledge true and correct.

1.4 Where I make legal submissions, I do so on the advice of my legal representatives, which advice I believe to be correct.

2. THE RESPONDENTS

2.1 The First Respondent is _____ [credit provider name], a registered credit provider with registration number _____, with its principal place of business at _____.

2.2 The Second Respondent is _____ [credit provider name], a registered credit provider with registration number _____, with its principal place of business at _____.

2.3 The Third Respondent is _____ [credit provider name or NCR], _____.

2.4 All Respondents are cited in their capacity as parties affected by the relief sought.

3. BACKGROUND AND DEBT REVIEW HISTORY

3.1 On or about _____ [date], I applied for debt review in terms of Section 86 of the National Credit Act 34 of 2005 ("the NCA").

3.2 The debt review application was made through _____
[debt counsellor name], a registered debt counsellor with NCRDC registration number _____.

3.3 At the time of applying for debt review, I was over-indebted as contemplated in Section 79 of the NCA and required assistance in restructuring my debt obligations.

3.4 A copy of the original debt review application / Form 17.1 is attached hereto marked "Annexure A".

3.5 On _____ [date], a debt restructuring order was granted by this Honourable Court / the Magistrate's Court under case number _____.

3.6 A copy of the said order is attached hereto marked "Annexure B".

3.7 In terms of the order, I was required to make monthly payments of R_____ to the Payment Distribution Agency ("PDA") for distribution to my creditors.

4. COMPLIANCE WITH THE DEBT REVIEW ORDER

4.1 I have diligently complied with the terms of the debt review order and have made regular monthly payments as required.

4.2 [SELECT APPROPRIATE OPTION:]

Option A - Full Payment:

4.2.1 I confirm that I have paid all my debts in full as contemplated in the debt restructuring order.

4.2.2 Attached hereto marked "Annexure C" is a statement from the PDA confirming full payment of all debts under the debt review.

4.2.3 Attached hereto marked "Annexure D" are clearance certificates / paid-up letters from the credit providers confirming that all accounts have been settled in full.

Option B - Substantially Paid:

4.2.1 I have substantially complied with the terms of the debt review order and have paid off [specify percentage, e.g., 95%] of my restructured debt.

4.2.2 The remaining balance is minimal and does not warrant the continuation of the debt review status.

4.2.3 Attached hereto marked "Annexure C" is a payment history from the PDA showing my compliance.

Option C - Changed Circumstances:

4.2.1 Since the granting of the debt review order, my financial circumstances have materially improved.

4.2.2 Specifically, [describe changed circumstances: e.g., "I have secured permanent employment with a monthly income of R_____ " / "I have received an inheritance" / "My spouse is now employed"].

4.2.3 I am now in a position to settle my outstanding debts without the need for continued debt review protection.

4.2.4 Attached hereto marked "Annexure C" are payslips / proof of income demonstrating my improved financial position.

5. REASONS FOR SEEKING REMOVAL FROM DEBT REVIEW

5.1 I respectfully submit that I am entitled to be removed from debt review for the following reasons:

5.2 [SELECT APPLICABLE REASONS:]

5.2.1 I have fulfilled all my obligations under the debt restructuring order;

5.2.2 I have settled all my debts / substantially all my debts under the debt review;

5.2.3 My financial circumstances have improved to the extent that I am no longer over-indebted;

5.2.4 The continuation of the debt review status is prejudicial to me in that it prevents me from accessing credit facilities necessary for [specify purpose: e.g., "purchasing a vehicle for work purposes" / "securing a home loan" / "business opportunities"];

5.2.5 I have demonstrated financial responsibility and discipline throughout the debt review process;

5.2.6 There is no longer any justification for maintaining the debt review status.

6. CURRENT FINANCIAL POSITION

6.1 My current monthly income is R_____ from the following sources:

6.1.1 Salary/wages: R_____

6.1.2 [Other income sources]: R_____

6.2 My current monthly expenses are approximately R_____, comprising:

6.2.1 Housing (rent/bond): R_____

6.2.2 Utilities: R_____

6.2.3 Transport: R_____

6.2.4 Food and groceries: R_____

6.2.5 Insurance: R_____

6.2.6 Other essential expenses: R_____

6.3 Attached hereto marked "Annexure E" is a detailed statement of my current income and expenses.

6.4 I have surplus income of R_____ after meeting all my monthly obligations.

6.5 [If applicable] I have no outstanding judgments against me other than those related to the debt review.

7. OUTSTANDING DEBTS (IF ANY)

7.1 [If fully paid:] I confirm that I have no outstanding debts with any of the Respondents or any other credit providers.

7.2 [If partially paid:] I have the following minimal outstanding debt(s):

7.2.1 First Respondent: R_____ (original debt: R_____)

7.2.2 Second Respondent: R_____ (original debt: R_____)

7.3 [If applicable:] I have made arrangements with the above credit provider(s) to settle the outstanding balance within _____ months, and attach correspondence confirming such arrangement as "Annexure F".

8. IMPACT OF DEBT REVIEW STATUS

8.1 The continued debt review status on my credit profile has the following adverse effects:

8.1.1 I am unable to access any form of credit, including [specify: e.g., "vehicle finance necessary for my employment" / "a home loan to purchase property" / "business credit to expand my enterprise"];

8.1.2 I am unable to act as a surety for [specify if applicable];

8.1.3 Potential employers / business partners have expressed concern about my debt review status;

8.1.4 I am prevented from entering into lease agreements / rental agreements;

8.1.5 [Other specific impacts].

8.2 The debt review has served its purpose of rehabilitating my finances, and its continuation is no longer warranted.

9. ATTEMPTS TO RESOLVE THE MATTER

9.1 [If applicable:] On _____ [date], I contacted _____ [debt counsellor / credit provider] requesting the removal of the debt review status.

9.2 [If applicable:] Despite my requests and proof of payment, the debt review status has not been removed from the credit bureau records.

9.3 [If applicable:] Attached hereto marked "Annexure G" is correspondence between myself and [debt counsellor / credit providers] regarding this matter.

9.4 I have been advised that a court order is required to formally terminate the debt review and remove the status from the credit bureaus.

10. LEGAL FRAMEWORK

10.1 Section 86(10) of the NCA provides that if a consumer has settled all the debts that were re-arranged under the debt review, the debt counsellor must issue a clearance certificate in the prescribed form.

10.2 Furthermore, in terms of Section 71 of the NCA, a consumer is entitled to approach the court for variation or rescission of an order where circumstances have changed.

10.3 The continued imposition of the debt review status, where the purpose thereof has been fulfilled or is no longer necessary, is unreasonable and disproportionate.

10.4 I respectfully submit that this Honourable Court has the power to grant the relief sought in the interest of justice.

11. CONSTITUTIONAL CONSIDERATIONS

11.1 The right to economic participation is a fundamental aspect of human dignity as protected by the Constitution of the Republic of South Africa, 1996.

11.2 While debt review serves the important purpose of protecting over-indebted consumers, its continuation beyond the point of necessity constitutes an unjustifiable limitation on my economic rights.

11.3 I have demonstrated financial rehabilitation and responsibility, and am entitled to re-enter the credit market as a responsible consumer.

12. RELIEF SOUGHT

12.1 In light of the above, I respectfully seek the following relief:

12.1.1 That the debt review order be rescinded and set aside;

12.1.2 That all credit providers and credit bureaus be directed to remove the debt review flag from my credit profile;

12.1.3 That the National Credit Regulator be directed to update its records accordingly;

12.1.4 That such relief be granted with costs.

13. SERVICE AND NOTICE

13.1 I undertake to serve copies of this application on all affected parties as required by the Rules of Court.

13.2 I am advised that the Respondents have been properly served with this application and have been afforded an opportunity to oppose same.

14. CONCLUSION

14.1 I respectfully submit that I have made out a case for the relief sought.

14.2 The granting of this application will serve the interests of justice and align with the purposes of the NCA in promoting responsible credit market participation.

14.3 I undertake to abide by any conditions this Honourable Court may deem fit to impose.

15. I respectfully request that this Honourable Court grant the relief sought in the Notice of Motion.

WHEREFORE Applicant prays for an order in terms of the Notice of Motion.

DEPONENT

I certify that the deponent has acknowledged that he/she knows and understands the contents of this affidavit which was signed and sworn to before me at _____ on this _____ day of _____ 20____, the regulations contained in Government Notice R1258 of 21 July 1972, as amended, and Government Notice R1648 of 19 August 1977, as amended, having been complied with.

COMMISSIONER OF OATHS

Full Names:

Address:

Capacity:

Date Stamp:

LIST OF ANNEXURES:

Annexure A: Debt Review Application / Form 17.1

Annexure B: Original Debt Restructuring Court Order

Annexure C: PDA Statement / Payment History / Proof of Income

Annexure D: Clearance Certificates / Paid-Up Letters (if applicable)

Annexure E: Current Income and Expense Statement

Annexure F: Correspondence with Credit Providers (if applicable)

Annexure G: Correspondence regarding removal request (if applicable)